

Meridian Grain Co.

Unaudited Condensed Financial Statements
For the quarter ended **30 September 2026**
Reporting currency: USD thousands

Document Reference: **FS-MGC-2026-Q3**

Condensed Statement of Operations

	Q3 2026	Q3 2025	YTD 2026	YTD 2025
Revenue	48,210	41,905	139,640	121,880
Cost of goods sold	(31,540)	(28,110)	(92,315)	(83,440)
Gross profit	16,670	13,795	47,325	38,440
Selling and distribution	(5,420)	(4,860)	(15,980)	(14,120)
General and administrative	(4,105)	(3,770)	(12,240)	(11,305)
Research and development	(1,260)	(940)	(3,510)	(2,690)
Operating income	5,885	4,225	15,595	10,325
Interest expense	(690)	(755)	(2,110)	(2,290)
Other income, net	145	88	402	231
Income before tax	5,340	3,558	13,887	8,266
Income tax expense	(1,282)	(854)	(3,333)	(1,984)
Net income	4,058	2,704	10,554	6,282

Figures in parentheses represent deductions. Percentages are calculated on unrounded amounts.

Condensed Balance Sheet

	30 Sep 2026	31 Dec 2025
Cash and cash equivalents	12,440	9,880
Trade receivables	27,315	24,090
Inventory	33,760	30,415
Other current assets	4,120	3,655
Total current assets	77,635	68,040
Property, plant and equipment, net	88,920	91,440
Intangible assets	6,250	6,880
Total assets	172,805	166,360
Trade payables	21,455	19,780
Short-term borrowings	8,000	12,500
Other current liabilities	6,930	6,215
Total current liabilities	36,385	38,495
Long-term debt	42,100	44,600
Total liabilities	78,485	83,095
Shareholders' equity	94,320	83,265
Total liabilities and equity	172,805	166,360

Management Discussion

Revenue grew 15.0% year on year in the third quarter, driven primarily by higher volumes in the bulk grain segment and a favourable pricing environment in export markets. Gross margin improved to 34.6% from 32.9%, reflecting lower inbound freight costs following the renegotiation of the Kestrel Freight Systems haulage contract in March 2026.

Operating expenses rose 9.8%, below revenue growth, as the company continued to absorb the cost of its analytics modernisation programme. Research and development spending increased 34.0% year on year, substantially all of which relates to the demand-forecasting initiative begun in the first quarter.

Net debt reduced to \$37.7 million from \$47.2 million at the prior year end, following the scheduled repayment of short-term borrowings and stronger operating cash generation. The board has not declared a dividend for the quarter.

Principal Risks

Commodity price volatility. A sustained 10% decline in benchmark grain prices would reduce annual revenue by an estimated \$11 million on current volumes.

Counterparty concentration. The three largest customers accounted for 38% of revenue in the period, down from 44% in the prior year.

Logistics disruption. Port congestion at Ashport delayed 6% of scheduled shipments in the quarter, with associated detention charges currently under dispute with the haulage provider.